

Progress Note Block 1 – Group 11

The first version of our agent is capable of performing activities that lead to the reclassification of the income statement, including the value-added cost structure, and the managerial balance sheet. This includes identifying unusual items, core and non-core items, recurring and non-recurring items. Based on these categorizations, the agent can compose breakdowns of ROI and ROE. Most importantly, the agent uses the basis of computations from a workbook we provided it, but is able to make computations in its own way and flag differences it finds to our methodology. This can prompt areas for us to correct, but also provides the agent more flexibility regarding the ways it can analyze the financial statements.

The hardest methodological choice in general was what items should be classified as unusual and what the criteria for selecting an unusual item should be. We did not know where to start as unusual items at its core is a subjective and ambiguous topic. Thus, the first thing we did was classify the things which we were sure about, then we went through the notes to try to separate mostly other operating income and expenses. In there, we found several notes where the year of the income was different along with the disposal of assets. The most difficult part of the unusual items was figuring out what to do with the refunds, whether to keep them in core income or treat them as an unusual item since the note described it as mostly relating to production losses.

Another methodological choice that proved to be challenging was the decomposition of the ratios, specifically the ROE for MM and Penman, as DUPONT was straightforward. Firstly, we tried calculating the Financial assets and liabilities to see which one is higher, thus to check which version of the formula applies. When deciding what to consider as a financial asset.

The agent misled us in several areas. Despite coming to conclusions that were the same as our own calculations, it used different approaches to come to these conclusions. Since we required the agent to explicitly cite where it retrieved its figures from, we were able to catch most of these missteps. One example of this was when the agent computed the income statement to match the comprehensive income total we had calculated. However, it had moved one specific item related to an acquisition from the unusual items to a recurring item, which was clearly not the case for an acquisition-related item. We had to address several smaller missteps such as this through redefining and clarifying certain descriptions in the master and module prompts in order to ensure that the agent remained consistent and clear in its methodology. Initially, the model did also correctly compute several ROE components, specifically for the Modigliani Miller and Penman decompositions. We found that its definitions in the master prompt were cluttered with too many items and thus final ROE values were actually not computed. Therefore, in this case we had to simplify the prompt in order to reach the ideal final computation.

One final concern we must address is that the agent still shows inconsistencies when building the reclassified income statement, and certain issues relating to smaller computations in certain areas despite coming to valid final conclusions. Most of these issues arise when we ask the agent

to complete the entire Module A prompt in one command, whereas when it computes different aspects one-by-one, it is able to provide the correct computations.